Doctoral degree

| Specification | Year FE | + Client FE | + Audit firm FE |
|---|---|---|---|
| **Audit failure** | | | |
| Separate regression | 0.007 | 0.006 | 0.005 |
| | (0.008) | (0.010) | (0.010) |
| Observations (separate) | 41,252 | 41,252 | 41,252 |
| R-squared (separate) | 0.0172 | 0.2269 | 0.2334 |
| Outcome mean (separate) | 0.041 | 0.041 | 0.041 |
| Joint regression | 0.009 | 0.008 | 0.008 |
| | (0.009) | (0.010) | (0.010) |
| Observations (joint) | 41,252 | 41,252 | 41,252 |
| R-squared (joint) | 0.0179 | 0.2272 | 0.2336 |
| Outcome mean (joint) | 0.041 | 0.041 | 0.041 |
| Doctorate vs. below bachelor | 0.000 | -0.001 | -0.001 |
| | (0.009) | (0.010) | (0.010) |
| Observations (categories) | 41,252 | 41,252 | 41,252 |
| R-squared (categories) | 0.0175 | 0.2271 | 0.2336 |
| Outcome mean (categories) | 0.041 | 0.041 | 0.041 |
| **Restatement** | | | |
| Separate regression | 0.007 | 0.004 | 0.003 |
| | (0.006) | (0.008) | (0.008) |
| Observations (separate) | 41,252 | 41,252 | 41,252 |
| R-squared (separate) | 0.0155 | 0.2099 | 0.2170 |
| Outcome mean (separate) | 0.021 | 0.021 | 0.021 |
| Joint regression | 0.008 | 0.004 | 0.004 |
| | (0.006) | (0.008) | (0.008) |
| Observations (joint) | 41,252 | 41,252 | 41,252 |
| R-squared (joint) | 0.0160 | 0.2101 | 0.2172 |
| Outcome mean (joint) | 0.021 | 0.021 | 0.021 |
| Doctorate vs. below bachelor | 0.004 | 0.000 | -0.001 |
| | (0.006) | (0.008) | (0.008) |
| Observations (categories) | 41,252 | 41,252 | 41,252 |
| R-squared (categories) | 0.0156 | 0.2100 | 0.2171 |
| Outcome mean (categories) | 0.021 | 0.021 | 0.021 |
| **Violation** | | | |
| Separate regression | 0.001 | 0.000 | 0.001 |
| | (0.006) | (0.006) | (0.007) |
| Observations (separate) | 41,252 | 41,252 | 41,252 |
| R-squared (separate) | 0.0083 | 0.2166 | 0.2216 |
| Outcome mean (separate) | 0.025 | 0.025 | 0.025 |
| Joint regression | 0.000 | 0.001 | 0.001 |
| | (0.007) | (0.007) | (0.007) |
| Observations (joint) | 41,252 | 41,252 | 41,252 |
| R-squared (joint) | 0.0089 | 0.2168 | 0.2216 |
| Outcome mean (joint) | 0.025 | 0.025 | 0.025 |
| Doctorate vs. below bachelor | -0.005 | -0.004 | -0.003 |
| | (0.007) | (0.007) | (0.007) |
| Observations (categories) | 41,252 | 41,252 | 41,252 |
| R-squared (categories) | 0.0086 | 0.2167 | 0.2216 |
| Outcome mean (categories) | 0.025 | 0.025 | 0.025 |

*Notes:* All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.